Note 15: Chipset Design Issue

In January 2011, as part of our ongoing quality assurance procedures, we identified a design issue with the Intel® 6 Series Express Chipset family. The issue affected chipsets sold in the fourth quarter of 2010 and January 2011. We subsequently implemented a silicon fix and began shipping the updated version of the affected chipset in February 2011. The total cost in 2011 to repair and replace affected materials and systems, located with customers and in the market, was $422 million. We do not expect to have any significant future adjustments related to this issue.

Note 16: Borrowings

Short-Term Debt

As of December 28, 2013, short-term debt consisted of drafts payable of $257 million and notes payable of $24 million (drafts payable of $264 million and notes payable of $48 million as of December 29, 2012). We have an ongoing authorization from our Board of Directors to borrow up to $3.0 billion, including through the issuance of commercial paper. Maximum borrowings under our commercial paper program during 2013 were $300 million ($500 million during 2012). Our commercial paper was rated A-1+ by Standard & Poor's and P-1 by Moody's as of December 28, 2013.

Long-Term Debt

Our long-term debt at the end of each period was as follows:

(In Millions)	Dec 28, 2013	Dec 29, 2012
2012 Senior notes due 2017 at 1.35%	$ 2,997	$ 2,997
2012 Senior notes due 2022 at 2.70%	1,494	1,494
2012 Senior notes due 2032 at 4.00%	744	743
2012 Senior notes due 2042 at 4.25%	924	924
2011 Senior notes due 2016 at 1.95%	1,499	1,498
2011 Senior notes due 2021 at 3.30%	1,996	1,996
2011 Senior notes due 2041 at 4.80%	1,490	1,489
2009 Junior subordinated convertible debentures due 2039 at 3.25%	1,075	1,063
2005 Junior subordinated convertible debentures due 2035 at 2.95%	946	932
Total long-term debt	**$ 13,165**	**$ 13,136**

Senior Notes

In the fourth quarter of 2012, we issued $6.2 billion aggregate principal amount of senior unsecured notes for general corporate purposes and to repurchase shares of our common stock pursuant to our authorized common stock repurchase program. In the third quarter of 2011, we issued $5.0 billion aggregate principal amount of senior unsecured notes, primarily to repurchase shares of our common stock pursuant to our authorized common stock repurchase program, and for general corporate purposes.

Our senior notes pay a fixed rate of interest semiannually. We may redeem our senior notes, in whole or in part, at any time at our option at specified redemption prices. The senior notes rank equally in right of payment with all of our other existing and future senior unsecured indebtedness and will effectively rank junior to all liabilities of our subsidiaries.